

Journal of Financial Crises

Volume 7 | Issue 1

2025

Lessons Learned: Giorgio Gobbi

Mercedes Cardona

Follow this and additional works at: <https://elischolar.library.yale.edu/journal-of-financial-crises>



Part of the [Banking and Finance Law Commons](#), [Economic History Commons](#), [Finance Commons](#), [Finance and Financial Management Commons](#), [Law and Economics Commons](#), [Policy Design, Analysis, and Evaluation Commons](#), and the [Public Administration Commons](#)

Recommended Citation

Cardona, Mercedes (2025) "Lessons Learned: Giorgio Gobbi," *Journal of Financial Crises*: Vol. 7 : Iss. 1, 715-717.

DOI: <https://doi.org/10.17132/2693-3179.1640>

Available at: <https://elischolar.library.yale.edu/journal-of-financial-crises/vol7/iss1/30>

This Lessons Learned is brought to you for free and open access by the Journal of Financial Crises and EliScholar – A Digital Platform for Scholarly Publishing at Yale. For more information, please contact journalfinancialcrises@yale.edu.

READERS TAKE NOTICE:

As of April 2024, the YPFS Resource Library's site domain has changed to <https://elischolar.library.yale.edu/ypfs-financial-crisis-resource-library/>.

Please be aware that upon clicking any of the URL references to the former Resource Library domains, either <https://ypfs.som.yale.edu> or <https://ypfsresourcelibrary.blob.core.windows.net/>, in the "References/Key Program Documents" section of a case study, readers will encounter a "page not found" error.

Readers can still retrieve a given resource cited within this case study on the [new site](#) by searching [here](#) for the title cited.

Yale Program on Financial Stability

Lessons Learned

Giorgio Gobbi

By Mercedes Cardona

Giorgio Gobbi joined the Economic Research Department of the Bank of Italy in 1990 and was assigned to carry out analysis and research on the banking industry. From 1998 to 2004, he headed the department's Financial Intermediaries Office and represented the bank at the International Monetary Fund, the Bank of International Settlements, and the European Central Bank. Starting in 2007, Gobbi headed the Financial Structure and Intermediaries Division within the bank's Structural Economic Analysis Department. He was appointed deputy head of the Financial Stability Unit in 2013 and became head of the Financial Stability Directorate in 2014. This Lessons Learned summary is based on an interview with Gobbi conducted in August 2022; the full transcript may be accessed [here](#).

Don't be constrained by linear thinking or static models. Events will move faster than expected and in new ways. Look for contagion channels across sectors and in the real economy.

The Global Financial Crisis of 2007–09 (GFC) challenged Italian economists who were focused on the state of their economy and banking system instead of issues outside their borders. Italy did not have the same exposure to subprime mortgages or derivatives that some other European countries, such as Spain or the United Kingdom, had. However, its banking system did experience an expansion of credit in the period leading up to the GFC, especially in nonresidential real estate and the building sector. The nation's banks supplied credit to a wide swath of businesses, especially small ones that did not survive the crisis and the recession that followed. Credit defaults among those businesses jeopardized the stability and flow of liquidity in the banking sector.

Gobbi recalls that linear thinking—focusing on residential mortgages and derivatives originating in the United States—obstructed the Italian economists' view of the debt crisis looming on their banks' balance sheets.

We didn't have a subprime [market] because we had a very underdeveloped residential real estate market. In Italy, 80% of the households owned the house in which they live, and [the residential real estate market] was not really big. We started to have a market there, and it was nonresidential. Well, bank lending was growing at a fast pace for nonresidential real estate. It was just the construction sector and developers that were financed. It was not big numbers, nothing was seen as so great, but our financial system was based entirely on banks' finances. When financial lending to other sectors was slowing down—because there was a period of low growth when firms other than the ones in the construction sector were not investing very much—there was a sort of concentration of exposures in the banking portfolios, in the banking balance sheets, toward firms involved in real estate activities.

The exposure was nothing like other countries, but we did have our problem in real estate. This is one thing that we were aware of then. But looking at what was going on in the United States, the United Kingdom, for most of the time the focus was residential real estate. Residential real estate was seen as something not so [troubling to us]. In the United States it was so, it was so in the United Kingdom. The point is that when the big crisis came, the big recession came, and we had the correction in house prices and also in nonresidential property prices, the banks paid a high cost for the exposure, because many, many small firms in the construction sector went out of market. This was a pain we had among many other banks.

Because of that failure to see beyond the immediate markers of the looming crisis to the possible impacts on its banks, Italy was caught somewhat unprepared for the recession that developed and dovetailed with the European Sovereign Debt Crisis that started in 2011.

What I think that we really missed is that the development of the events can be very nonlinear. If I go back to 2007, 2008, and 2009, still we see that we arrive at 2008, the last quarter of the crisis, and a few months before, we still don't see that they have some big shock or some disruption. We were always thinking in a linear way. We didn't take into account the kind of accelerations that the events can take.

This was also true of the Sovereign Debt Crisis. At the beginning, we saw that it was a problem of Greece, then of Portugal. And when we realized it was also a problem in Italy, we are already within the problem. But because we are just using this kind of linear model, we were not—at least, I was not able to think that way; maybe other people were at the bank—to see that things sometimes can go very, very, very fast. Much faster than expected with your models, with your analysis. If we had had the perception of the magnitude of the events, maybe sometimes we would've been taking the lead of the events, and not just following the events. You have to start to think that things can go bad, in a much quicker way than your models say.

The effects of the global recession impacted the Italian economy in ways that are still being felt today, undercutting confidence in its banking system and sparking a punishing contraction in the finance sector. According to Gobbi, the goal should be to try to get ahead of events and take the lead, rather than just following and reacting to them.

Gobbi argued for the same need to avoid linear thinking and static models in addressing the threat that climate change poses to the economic order. Current models and assumptions may be insufficient to account for the full brunt of climate change on the economy as temperatures rise faster than originally projected by experts. He warned,

This is exactly the same thing. You think that you have this kind of linearity of the effects, from the increase in the temperature and the kind of effects. But then you discover things are much more quicker than you expected. You may have 40 degrees Celsius in London, when it was expected to reach this kind of high temperature in 2040. Because things can go much, much faster.

To successfully address a crisis, you must also take into consideration factors relating to the stability of businesses and the real economy.

If there was a silver lining to Italy's troubles, Gobbi reflected, it was a kind of "Schumpeterian creative destruction"—the businesses surviving the crises were much stronger than those that preceded them, and the Italian economy underwent a process of reform that, however painful, left it in a stronger condition. Gobbi pointed out that Italy's debt service relative to GDP is now lower than some other European economies, such as France and Spain.

Because of these developments, when the COVID-19 pandemic struck and the country became one of the first to go into lockdown in early 2020, the banks were stronger, although the real economy suffered slow growth. Italy's response to COVID was swift and informed by previous experiences, said Gobbi, and those lessons learned helped dampen the ill effects of the economic shutdown. Policymakers built a bridge to carry economic activity through the pandemic shock and avoid weakening the position of the banks, which would have reduced their ability to lend in the recovery.

He noted:

We had moratoria and then we had some sort of suspension of debt payments. We had subsidized lending to firms, and we had a number of regulatory supervision and regulatory measures that just prevented the profit and loss account problems of firms and households from becoming a balance sheet problem for the banks, with all these kinds of interaction and secondary effects. This was prevented.

The measures have been regarded as being successful, because now I think that we have almost recovered, or recovered from the pre-COVID crisis. The economy has grown very fast in the past years, and we have not had the kind of financial-real economy vicious cycle that we had in the past.

Dated: April 2025

YPFS Lessons Learned No. 2022-18